

- RAG Learning

2.5 External Influences

Business — Edexcel (9BS0) — Theme 2: Managing business activities

The last topic in Theme 2 looks outward, at factors businesses cannot control but must respond to: the economy, the law and the competitive environment. It is ideal territory for Edexcel's extended questions because the effects are never uniform — a rise in interest rates hurts a heavily indebted house-builder far more than a cash-rich supermarket, and a fall in the pound helps an exporter while hurting an importer. The highest marks go to answers that explain **why the effect differs for the business in the extract**, not those that describe the effect on “businesses” in general.

Inflation — a sustained rise in the general price level over time; the rate of inflation is the percentage increase over a year.

Consumer Prices Index (CPI) — the UK's official measure of inflation, tracking the prices of a representative “basket” of goods and services; the Bank of England's target is 2%.

Exchange rate — the price of one currency expressed in terms of another (e.g. £1 = \$1.30).

Appreciation / depreciation — a rise / fall in the value of a currency against another.

Interest rate — the cost of borrowing money and the reward for saving; in the UK the Bank of England sets Bank Rate.

Fiscal policy — government decisions on taxation and spending.

Business cycle — the regular fluctuation in economic activity (GDP) over time: boom, downturn, recession, recovery.

Competition policy — laws and regulators that promote competition and prevent the abuse of market power.

2.5.1 Economic influences

a) Inflation

The **rate of inflation** is measured by the percentage change in the CPI over 12 months. If the index rises from 130.0 to 135.2, inflation = $(135.2 - 130.0) \div 130.0 \times 100 = 4\%$. UK CPI inflation peaked at 11.1% in October 2022, driven by energy and food prices after Russia's invasion of Ukraine, before falling back towards the 2% target in 2024.

Effects of high or rising inflation on businesses	Which businesses?
Rising costs — materials, energy and (eventually) wages, squeezing margins unless passed on	Worst for firms with elastic demand that cannot raise prices, and energy-intensive firms
Falling real incomes — if wages rise more slowly than prices, demand falls for income-elastic products	Luxury goods and restaurants lose; discounters (Aldi, Lidl) gain
Wage demands and industrial action	Unionised sectors (rail, health, postal services, 2022–24)
Uncertainty and planning difficulty — menu costs of changing prices; budgets and forecasts quickly become unrealistic	All businesses
International competitiveness — if UK inflation is higher than rivals' abroad, UK goods become relatively expensive	Exporters
Interest rates rise as the Bank of England responds	Heavily indebted firms

Some firms can benefit: those with strong brands (low PED) can raise prices by more than costs; the real value of their debts falls; stock bought earlier can be sold at higher prices. **Deflation** (falling prices) is also harmful: consumers delay purchases, waiting for lower prices.

Exchange rates

A useful memory aid: **SPICED** — a **S**trong **P**ound means **I**mports are **C**heaper and **E**xports are **D**earer.

Worked example (appreciation). A UK firm exports machine parts priced at £500. At £1 = \$1.20, a US customer pays \$600. If the pound appreciates to £1 = \$1.35, the US price becomes $500 \times$

$1.35 = \$675$ (a 12.5% rise), unless the firm cuts its sterling price and accepts a lower margin. Meanwhile, a UK retailer importing \$30,000 of goods paid $30,000 \div 1.20 = £25,000$; after appreciation it pays $30,000 \div 1.35 = £22,222$ — its costs fall.

	Appreciation (stronger pound)	Depreciation (weaker pound)
Exporters	Foreign-currency prices rise: less competitive, or lower margins	More competitive abroad; can cut foreign prices or raise margins
Importers / firms using imported inputs	Cheaper imports; lower costs	More expensive imports; higher costs
UK firms competing with imports	Imported rivals become cheaper	Imported rivals become dearer
Tourism	Fewer overseas visitors; UK residents holiday abroad	More overseas visitors to the UK

The effect depends on the **PED** of the product abroad, whether the firm both imports inputs and exports outputs (effects partly cancel), and whether it **hedges** currency risk (fixing a future exchange rate through forward contracts). The pound fell sharply after the 2016 EU referendum and again briefly to a record low near \$1.04 after the September 2022 mini-budget.

Interest rates

The Bank of England raised Bank Rate from 0.1% (December 2021) to 5.25% (August 2023) to bring inflation down, then began cutting from August 2024.

- **Cost of borrowing** — higher rates raise interest payments on loans and overdrafts, reducing profits and cash flow, especially for highly geared firms. Investment projects become less attractive.
- **Consumer demand** — higher mortgage and credit costs reduce disposable income; demand falls for goods bought on credit (cars, furniture, houses) and for luxuries. House-builders are especially exposed.
- **Saving** — higher rates encourage saving rather than spending.

- **Exchange rate** — higher UK rates attract foreign savings, tending to strengthen the pound (hurting exporters).
- **Beneficiaries** — cash-rich firms earn more on deposits; banks' lending margins may widen.

Taxation and government spending

- **Direct taxes** — income tax reduces consumers' disposable income; corporation tax (raised from 19% to 25% for larger profits in April 2023) reduces profit after tax and funds available for reinvestment; employer National Insurance (raised from 13.8% to 15% in April 2025, with a lower threshold) increases the cost of employing staff.
- **Indirect taxes** — VAT (20%) and excise duties raise prices and can reduce demand; specific taxes such as the Soft Drinks Industry Levy change product design.
- **Government spending** — directly creates demand for firms that supply the public sector (construction, defence, healthcare suppliers, IT contractors); infrastructure spending (HS2, road building) benefits construction firms; cuts hit these suppliers.
- Tax reliefs and allowances (e.g. capital allowances for investment) encourage business investment.

The business cycle

Phase	Features	Business implications
Boom	High growth, low unemployment, rising inflation, capacity constraints	High sales and profits; skill shortages, rising wages and costs; firms near full capacity
Downturn (slowdown)	Growth slows; confidence falls	Sales growth slows; firms delay investment and hiring
Recession	GDP falls for two consecutive quarters; rising unemployment	Falling demand (especially for income-elastic goods); excess capacity; redundancies; business failures; inferior goods and discounters may gain

Recovery	Growth resumes; confidence returns	Sales rise; firms rehire and restart investment
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The impact varies with the product's **income elasticity** (link to 1.2.5): in the 2008–09 recession, discounters and pawnbrokers grew while car makers and restaurants suffered. The 2020 Covid recession was unusual: the hospitality and travel sectors collapsed while online retailers and home-improvement firms boomed.

b) The effect of economic uncertainty on the business environment

- Firms delay or cancel **investment** and expansion until the outlook is clearer.
- Consumers delay major purchases and save more.
- **Forecasting and budgeting** become less reliable; firms hold more cash and stock as a precaution.
- Banks become more cautious about lending; the cost of finance may rise.
- Hiring freezes; greater use of temporary or flexible staff.
- Currency volatility complicates pricing for exporters and importers.

Sources of uncertainty since 2016 include the EU referendum and Brexit negotiations, the pandemic, the energy price shock, the 2022 mini-budget, and shifts in US trade tariffs in 2025. Uncertainty differs from measurable risk (1.1.1): firms respond with flexibility, contingency plans and scenario planning (3.6).

2.5.2 Legislation

Area	Key UK laws and bodies	Effects on businesses
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Consumer protection	Consumer Rights Act 2015 (goods must be of satisfactory quality, fit for purpose and as described; rights to repair, replacement or refund); Digital Markets, Competition and Consumers Act 2024 (bans fake reviews and hidden "drip" pricing; lets the CMA fine firms directly for consumer law breaches); Trading Standards	Costs of compliance, quality control, clear labelling and returns; but builds consumer trust and creates a level playing field. Breaches bring fines, compensation and reputational damage
Employee protection	National Minimum Wage Act 1998 (National Living Wage £12.71 an hour for 21 and over from April 2026); Equality Act 2010 (nine protected characteristics); Employment Rights Act 1996 (unfair dismissal, redundancy pay); Working Time Regulations 1998 (48-hour average week, paid holiday); the Employment Rights Act 2025 (Royal Assent December 2025, with its reforms phased in from 2026)	Higher labour costs, especially in labour-intensive, low-wage sectors (hospitality, retail, care); administrative burden; but can improve motivation and retention, and reduce the risk of tribunal claims
Environmental protection	Environmental Protection Act 1990; Climate Change Act 2008 (net zero by 2050); Environment Act 2021; landfill tax; Plastic Packaging Tax; Environment Agency	Costs of cleaner processes, waste disposal and reporting; restrictions on products (single-use plastics ban); but opportunities in green products, lower energy and waste costs, and improved reputation
Competition policy	Competition Act 1998 (bans cartels and abuse of a dominant position); Enterprise Act 2002; Competition and Markets Authority (CMA) investigates mergers and markets and can fine firms up to 10% of global turnover	Limits growth by merger; prevents price-fixing and predatory pricing; protects smaller firms from abuse by dominant rivals. E.g. the CMA initially blocked Microsoft's takeover of Activision Blizzard

		(2023), clearing it only after restructuring
Health and safety	Health and Safety at Work etc. Act 1974 (employers must ensure, so far as reasonably practicable, the health, safety and welfare of employees); enforced by the Health and Safety Executive (HSE); risk assessments; RIDDOR reporting	Costs of training, equipment, risk assessment and insurance; but fewer accidents, lower absence, higher morale, avoidance of fines and prosecution

Evaluating the impact of legislation:

- Costs of compliance fall more heavily on **small firms**, which lack specialist HR and legal staff.
- Legislation applies to **all competitors** equally, so it may not affect relative competitiveness — except against overseas firms not subject to it.
- Good employers and ethical firms may already exceed legal minimums, so the law has little effect on them.
- Compliance can be turned into a **marketing advantage** (ethical and green credentials).

Exam Tip: You do not need to memorise section numbers, but naming a relevant Act or regulator ("the Consumer Rights Act 2015 requires goods to be of satisfactory quality", "the CMA") shows precise knowledge. Then apply it: what will *this* business have to change, what will it cost, and can it pass the cost on?

2.5.3 The competitive environment

a) Competition and market size

The level of competition a business faces depends on the **number and size of competitors** relative to the **size of the market**.

Market situation	Features	Example
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Many small competitors (highly competitive)	Low barriers to entry; similar products; businesses are price-takers with low margins; differentiation is essential	Hairdressers, cafes, takeaways, independent builders
A few dominant firms (oligopoly)	High barriers to entry; heavy branding and advertising; non-price competition; prices tend to be similar	UK supermarkets (Tesco has over a quarter of the market), mobile networks, banks
One dominant firm (monopoly)	A firm with over 25% share is a legal monopoly in the UK and subject to CMA scrutiny; price-maker; risk of complacency	Google in UK search; water companies in their regions (regulated by Ofwat)

How market size affects competition:

- A **large** market can support many firms and allows economies of scale for the largest, but attracts competitors.
- A **small** (niche) market may support only a few firms profitably; entrants can quickly saturate it.
- A **growing** market allows all firms to grow sales without taking share from each other, so competition may be less aggressive; a **static or shrinking** market means one firm's gain is another's loss, intensifying price competition.

Effects of increased competition on a business: pressure on prices and margins; need for differentiation, innovation and quality; greater marketing spend; pressure to cut costs and raise efficiency; possible exit of weaker firms or consolidation through mergers. Consumers benefit from lower prices, more choice and better quality.

Barriers to entry (which protect existing firms): economies of scale, brand loyalty, high start-up costs, patents, control of distribution channels, and legal licences.

Exam Tip: For any external-influence question, use a three-step structure: **(1)** what has changed (the interest rate has risen by x points); **(2)** the chain of effects on this business's costs, demand or finance, using its data (it has £2m of variable-rate loans; its products are luxury items); **(3)** what the size of the impact depends on (gearing, PED/YED, the share of

exports, how long the change lasts, what competitors do). Step 3 is where the evaluation marks are.

Common mistakes

- Saying inflation means “high prices” — it is a *rising* price level.
- Getting exchange-rate effects the wrong way round — use SPICED and do a quick calculation.
- Assuming a depreciation is simply “good” for UK firms — firms importing inputs face higher costs.
- Treating all businesses as affected equally by a recession or an interest-rate rise.
- Listing laws without explaining their effect on the business in the question.
- Confusing market size with number of competitors.

Quick recall

- Inflation (CPI, 2% target): rising costs, falling real incomes, wage demands, uncertainty
- SPICED: strong pound, imports cheaper, exports dearer; depreciation helps exporters and hurts importers
- Interest rates: cost of borrowing, consumer credit, saving, exchange rate; worst for highly geared firms and credit-dependent products
- Taxation and spending: direct taxes, indirect taxes, government contracts
- Business cycle: boom, downturn, recession, recovery; impact depends on YED
- Uncertainty: delayed investment, caution, less reliable forecasts
- Legislation: consumer, employee, environmental, competition, health and safety — costs versus trust and a level playing field
- Competition depends on the number and size of rivals relative to market size, market growth and barriers to entry